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Case Number: 23STCV00274 Hearing Date: August 3, 2026 Dept: 9

Tentative

Ruling

John

Sedgh, M.D. et al. v. Fenton Law Group, LLP, et al., Case No. 23STCV00274

Defendants'

Motion for Attorneys' Fees

Hearing

Date: August 3, 2026

Background

Plaintiffs

John Sedgh, M.D., and Millennium Multispecialty Medical Group, Inc., sue defendants Fenton Law Group and attorneys Sedley, H. and B. Fenton, Jurkowitz, Kirkpatrick, and Lee for legal malpractice and breach of contract. Defendants represented plaintiffs in a lawsuit against Disability Determination Service Division of the California Department of Social Services ("DDSD") for breach of implied contract. In that case, Plaintiff Sedgh alleged DDSD improperly terminated him from its panel of consultative examiners, from which he generated significant business income.

On January

5, 2025, Plaintiffs filed their complaint against Defendants.

On March

24, 2024, Defendants answered and filed their cross-complaint for breach of contract and common counts for attorneys' fees owed.

On October

3, 2024, Defendants filed the Motion for Summary Judgment. The Court heard the Motion for Summary Judgment on June 25, 2025, and took the matter under submission. On June 27, 2025, the Court granted Defendants' Motion for Summary Judgment.

On

September 8, 2025, Plaintiffs appealed the Court's ruling on the Motion for Summary Judgment.

On January

13, 2026, Plaintiffs filed a motion to stay pending appeal. On May 1, 2026, they withdrew the motion.

On

February 25, 2026, Defendants filed this Motion for Attorneys' Fees. On July 20, 2026, Plaintiffs filed opposition.

Arguments

Defendants

argue that they are entitled to recover reasonable attorneys' fees under the client engagement agreement as the prevailing party on the motion for summary judgment. (Motion for Attorneys' Fees, p. 3.) Defendants argue that though this was an action for legal malpractice and breach of contract, the work was so intertwined as to be impracticable to separate the time into compensable and non-compensable time. (Id. at p. 4.) Defendants argue that they are the prevailing party as a matter of law and request \$177,690.00 in attorneys' fees. (Id. at pp. 5-6.) Defendants argue that their requested hours and rates were reasonable in light of the complexity of this case. (Id. at pp. 8-10.)

In

opposition, Plaintiffs argue that the fee motion is premature because the cross-complaint concerns the same contract. (Opposition, p. 6.) Plaintiffs argue that the Court cannot determine who the prevailing party on a contract is where substantial claims on the contract remain because it is not yet clear which party recovered greater relief. (Id. at p. 7.) Plaintiffs argue that piecemeal

awards before full resolution of the dispute are disfavored and asks that this motion be continued until after trial on the cross-complaint in May 2027. (Id. at p. 9.) Next, Plaintiffs argue that the fee clause is narrow and that Defendants have not properly apportioned their fees. (Id. at p. 10.) Finally, on the merits, Plaintiffs argue that the amount requested is overbroad and unsupported by Defendants' evidence. (Id. at p. 14.)

Governing

Law- Motion for Attorneys' Fees

In an action to enforce a contract that authorizes attorneys' fees and costs to either party, the prevailing party is entitled to reasonable attorney fees and costs. Code Civ. Proc. §1717(a). The prevailing party on a contract is the party who received greater relief in the action on the contract. Where there are multiple defendants and defendants prevail, the plaintiff's claims against each defendant must be considered separately in determining who is the prevailing party or if there are multiple prevailing parties. (*Burkhalter Kessler Clement & George, LLP v. Hamilton*, (2018) 19 Cal.App.5th 38, 45-46.)

A motion for attorneys' fees must be filed before the time to file an appeal elapses.

The Court has wide discretion in determining what constitutes reasonable attorneys' fees based on its own expertise. (*Hjelm v. Prometheus Real Estate Group, Inc.*, (2016) 3 Cal. App. 5th 1155, 1177.)

The

California Supreme Court has determined the lodestar method is the proper mechanism to calculate attorneys' fees under Code of Civil Procedure section 425.16(c). (*Ketchum v. Moses*, 24 Cal.4th 1122, 1136.) To calculate a lodestar amount, the court must determine the reasonableness of the hourly rates sought. The "reasonable hourly rate" applicable under the lodestar method is the rate "prevailing in the community for similar work." (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095.) "The trial court makes its determination after consideration of a number of factors, including the nature of the litigation, its difficulty, the amount involved, the skill required in its handling, the skill employed, the attention given, the success or failure, and other circumstances in the case." (Id. at 1096.)

Analysis

Prevailing
Party

a.

The
Cross-Complaint

There can only be one prevailing party in an action on a contract. (Code Civ. § 1717; Frog Creek Partners, LLC v. Vance Brown (2012) 206 Cal.App.4th 515, 539.) The prevailing party determination “is to be made only upon final resolution of the contract claims and only by ‘a comparison of the extent to which each party ha[s] succeeded and failed to succeed in its contentions.’” (Chia-Lee Hsu v. Maher J. Abbara (1995) 9 Cal.4th 863, 876.)

In Frog Creek Partners, the Court of Appeal reversed a trial court decision to award Frog Creek attorneys’ fees for prevailing on a petition to compel arbitration where they lost the contract action overall. (Frog Creek Partners, supra, 206 Cal.App.4th at 546.) In *DisputeSuite.com, LLC v. Scoreinc.com*, the California Supreme Court found that a trial court acted within its discretion in determining that the defendant had not prevailed on the contract when it had only prevailed on its motion to move the litigation to Florida. (*DisputeSuite.com, LLC v. Scoreinc.com* (2017) 2 Cal.5th 968, 974.)

This case is distinct. Unlike Plaintiffs’ cited authority, Defendants prevailed on a dispositive motion, a motion for summary judgment, not a procedural motion. The motion to compel arbitration and the transfer motions, above, did not rule on the merits of the case. Additionally, cross-complaints are generally treated as separate actions from the underlying case. (*K.R.L. Partnership v. Superior Court* (2004) 120 Cal.App.4th 490, 503.) Plaintiffs’ complaint and Defendants’ cross-complaint are very different: Plaintiffs’ complaint for professional negligence and breach of contract arising from professional negligence is fundamentally different from Defendants’ cross-complaint, which is an action for fees owed. The complaint and cross-complaint are separate actions, so the Court will consider the merits of Defendants’ fee motion.

b.

Apportionment
and Scope of the Agreement

Defendants

contend that their two claims, for legal malpractice and breach of contract, are so intertwined that the costs cannot be apportioned. Plaintiffs argue that the costs must be broken out because the scope of the contractual fee agreement is narrow.

The fee
agreement provides that:

If

an action or proceeding is commenced to enforce this Agreement or any provision thereof, the prevailing party in such an action or proceeding shall be entitled to recover the reasonable amount of attorneys' fees and costs, in addition to compensatory damages. This applies whether we choose to have attorneys in our firm represent us or engage outside counsel to represent us. Any such action or proceeding shall be brought in and determined by a court or tribunal in Los Angeles County, and you consent to the jurisdiction of such court or tribunal. For purposes of enforcing this Agreement only, you agree that this Agreement may be disclosed to the court or tribunal.

(Everson
Decl., ¶ 3, Exhibit H.)

It is

undisputed that the agreement does not apply to legal malpractice actions.

Generally,

attorneys' fees should be apportioned where there are two distinct claims and fees are only recoverable on one of the claims. (*Abdallah v. United Savings Bank* (1996) 43 Cal.App.4th 1101, 1111.) However, fees are not necessarily apportioned where the fees are "incurred for representation on an issue common to both a cause of action in which fees are proper and one in which they are not allowed," or where the actions are inextricably intertwined. (*Ibid.*)

Here,

Plaintiffs' claims for legal malpractice and breach of contract are practically identical. Plaintiffs alleged that Defendants committed legal malpractice by failing to file a claim under the Government Tort Claims Act before filing the underlying action against DDSD. (Complaint, ¶ 29.) Plaintiffs alleged that this same fact constituted breach of the client agreement containing the attorneys' fees provision. (Id. at ¶ 36.) On Defendants' Motion for Summary Judgment, the Court found that plaintiffs were not likely to prevail in their underlying action against DDSD, essentially finding that plaintiffs could not prove causation on either their legal malpractice or breach of contract claim. (Minute Order (June 27, 2025.)) The Court's ruling was therefore dispositive on both claims, on the same facts. Plaintiffs' two causes of action were therefore sufficiently intertwined to make apportionment of fees impossible.

Lodestar

Analysis

The

party that seeks payment must "keep records in sufficient detail that a neutral judge can make a fair evaluation of the time expended, the nature and need for the service, and the reasonable fees to be allowed." (Hensley v. Eckerhart (1983) 461 U.S. 424, 441 (conc. opn. of Burger, C.J.).) The evidence should allow the court to consider whether the case was overstaffed, how much time the attorneys spent on particular claims, and whether the hours were reasonably expended. (ComputerXpress, Inc. v. Jackson (2001) 93 Cal.App.4th 993, 1020.)

Defendants

claim that several attorneys worked on this matter for over 400 hours at rates ranging from \$325 to \$400 per hour. However, Defendants do not submit any billing records or other evidence showing when each attorney worked what hours or otherwise justifying the staffing on this case. They consolidate all their timekeeping into single, general line items that were presumably billed over months or years of work. This type of block billing makes it impossible to tell what was done, when, and how reasonable it was.

The court

may require a party to produce records to provide a proper basis for determining how much time was spent on particular claims. The court also may reduce compensation because the attorney did not maintain appropriate

time records. (ComputerXpress, supra, 93 Cal.App.4th 993, 1020.)

Conclusion

As a prevailing party, Defendants are entitled to recover fees. This motion is therefore continued to September 10, 2026. Defendants are ordered to file a supplemental declaration containing fee records by August 20, 2026. Plaintiffs may file objections to the supplemental declaration by August 27, 2026.